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AI in 2026: What Happened, and Why

The year's biggest AI stories, from the SpaceX and xAI merger to OpenAI's first chip, Anthropic's near-trillion-dollar valuation, the trillion-dollar build-out and the backlash it is causing. Each story covers what happened, the reasons behind it, and why it matters.

$1.25T
SpaceX + xAI combined value at the Feb 2026 merger **[REPORTED]**

$965B
Anthropic's May 2026 valuation, briefly above OpenAI's **[OFFICIAL]**

~$730B
2026 capex of Microsoft, Alphabet, Amazon and Meta combined **[UNVERIFIED, aggregator sum]**

$96.2B
Nvidia revenue in one quarter (to Jul 26), up 106% **[OFFICIAL]**

~1B
ChatGPT weekly users; Gemini about 1B monthly **[REPORTED]**

<1% → ~100%
Best AI score on ARC-AGI-3, Mar to Sept 2026 **[OFFICIAL, ARC Prize]**

16.7%
Forecast 2026 drop in smartphone shipments as AI eats memory supply **[OFFICIAL, IDC]**

0
Nvidia's China data-center revenue assumed in its Q3 guide **[OFFICIAL]**

How to read the tags

[OFFICIAL] the company or government said it (release, filing, court order). **[REPORTED]** reputable press. **[CLAIM]** a company's own number nobody has checked. **[UNVERIFIED]** single or secondary source, or sources conflict. Research cut-off: October 24, 2026. Q3 earnings for Microsoft, Alphabet and Amazon land the week of Oct 27, after this was written.

THE SHORT VERSION

Ten things to know

01 Musk merged his AI lab into his rocket company, mostly for cash.

xAI was losing about $1B a month. Folding it into SpaceX gave it Starlink's cash flow and a record IPO (June 12, about $75B raised). Its old supercomputer is now rented to rivals Anthropic and Google, and those leases helped SpaceX's AI unit out-earn Starlink in Q3.

02 Anthropic became the fastest-growing company in tech.

Its revenue run rate went from about $14B in February to about $65B by July, and it raised at $965B. An IPO is reportedly being prepared for November, but no public filing has appeared yet.

03 OpenAI loosened its ties to Microsoft and is preparing to go public.

It raised $122B at $852B, ended Azure exclusivity, beat Musk in court, started ads and revealed its first chip, Jalapeño. It also had to admit its revenue was about $20B lower than investors had been told.

04 Benchmarks stopped working as a way to measure models.

ARC-AGI-3 was built to resist AI and went from under 1% to almost 100% in six months. AI got a perfect official score at the IMO and disproved an 80-year-old Erdős conjecture.

05 The most capable models were held back for defenders first.

Claude Mythos, GPT-5.5-Cyber and Gemini 4 Argon all went to vetted security teams before the public. They find software vulnerabilities faster than people can patch them.

06 The build-out moved from cash to debt.

Meta, Alphabet and Amazon each posted negative free cash flow in at least one 2026 quarter. Hyperscalers sold more than $200B of bonds, and credit markets are starting to flinch.

07 The bubble debate turned into a sell-off.

Chip stocks are down about 26% from June. The Nasdaq had its worst day since June after Meta's results on Oct 22, and the IMF and Ray Dalio both issued warnings.

08 Power, not chips, is the real limit.

Data centers drove a more than tenfold jump in Mid-Atlantic capacity prices, and power bills became a midterm issue. The White House now wants AI companies to bring their own power.

09 Memory is the new bottleneck, and consumers are paying for it.

Memory makers moved production to high-bandwidth memory (HBM) for AI chips. That starved ordinary memory, so DRAM prices roughly doubled and phone shipments are on track for a record drop.

10 The US-China chip war became mutual.

Washington allowed sales of the older H200 in exchange for a 25% cut, and then Beijing refused to buy. Nvidia's China data-center revenue is effectively zero, and Huawei is taking the market.

STORY 1

SpaceX swallows xAI

The year's biggest deal joined a rocket and satellite company to a money-losing AI lab. It looks strange until you follow the cash.

WHAT HAPPENED

- **Feb 2, 2026:** SpaceX acquired xAI (which already owned X, formerly Twitter) in an all-stock deal. Valuations: SpaceX $1T, xAI $250B, combined $1.25T, the largest merger ever [REPORTED]. Tesla converted its roughly $2B xAI investment into SpaceX shares [OFFICIAL, Tesla proxy].
- **Jan 30:** SpaceX asked the FCC to approve an "Orbital Data Center System" of up to 1 million satellites. This is an application only; no launch schedule was given [OFFICIAL].
- **June 12, the IPO:** listed on Nasdaq as SPCX at $135, raising about $75B (about $85.7B with the overallotment), at about $1.75T. That is the largest IPO in history; Saudi Aramco's record was $29B. It closed day one up 19% at a market cap above $2T [REPORTED]. By early August it had fallen below its opening price [REPORTED].
- **Renting out the supercomputer:** Anthropic took all of Colossus 1 in Memphis, more than 220,000 Nvidia GPUs and over 300 MW, from May 6. The filing shows $1.25B a month through May 2029, with 90-day exit rights [OFFICIAL, S-1]. Google followed with about 110,000 GPUs at $920M a month from Oct 2026 to June 2029 [OFFICIAL, filing].
- **Buying Cursor:** SpaceX bought the AI coding company for about $60B in stock (closed Aug 14) [OFFICIAL]. OpenAI then said it would cut Cursor off from its models on Nov 12 [REPORTED].
- **Results:** In Q3, the AI segment ("Super Intelligence") earned $7.56B, about 9x the year before and more than Starlink, mostly from compute leased to Anthropic and Google. Company revenue was $14.58B and net income $4.4B [OFFICIAL / REPORTED].
- **Oct 20:** the SpaceX and Tesla boards each formed special committees to study merging the two companies. Musk is excluded from the talks and no terms exist [OFFICIAL statement].
- **Grok 5 still has not shipped.** It was promised for the end of 2025. Grok 4.5, 4.6 and 4.7 came out July to September [OFFICIAL, ARC Prize listings]. xAI lost most of its founding team [REPORTED].

WHY

- **xAI needed money.** The S-1 shows xAI lost $6.36B on $3.2B of revenue in 2025, and Bloomberg reported a burn rate of about $1B a month. CNBC's headline at the time: "xAI needs SpaceX deal for the money" [OFFICIAL / REPORTED]. SpaceX had profitable Starlink cash flow and could sell a far bigger IPO.
- **A better IPO story.** "Rockets plus AI plus satellites" sold for more than rockets alone. The reported IPO target rose from about $1.5T in January to $1.75T by June [REPORTED].
- **Musk's stated reason: compute in space.** He argues that power and cooling cap data centers on land, and that "within 2 to 3 years the lowest cost way to generate AI compute will be in space" [CLAIM]. Analysts say orbital compute needs enormous capital and won't reach scale before about 2030 [REPORTED].
- **Turning idle hardware into revenue.** Once xAI moved its training to Colossus 2, Colossus 1 could be rented out. Renting to rivals turned a cost center into SpaceX's fastest-growing business. Critics ask whether it is "a frontier lab or a REIT" (a property landlord) [REPORTED].
- **Cursor was about coding revenue and coding data.** Coding agents are AI's biggest money-maker, and Cursor's usage data can help train Grok [REPORTED].

The criticism

Governance experts see Musk moving value between companies he controls. Musk keeps a reported 82-85% of SpaceX voting power [UNVERIFIED]. Morningstar called xAI's numbers "reckless" and CFRA rated the stock a sell [REPORTED]. A Tesla merger would need approval from 50% of all Tesla shares. Fortune framed it as a test of Musk's accountability [REPORTED].

Why it matters

Compute has become a commodity that rivals buy from each other. The leading lab that has struggled most to ship a frontier model now makes its money as a landlord to the labs that are shipping them.

STORY 2

OpenAI: bigger, freer, messier

$852B	$122B	~$50B	~1B
Post-money valuation, Mar 31 [REPORTED]	Largest private round ever [REPORTED]	Net revenue run rate, end of Sept [REPORTED]	ChatGPT weekly users [REPORTED]

WHAT HAPPENED

- **New structure (Oct 28, 2025):** the company became OpenAI Group PBC (a public benefit corporation), controlled by the nonprofit OpenAI Foundation. Stakes: the foundation 26%, Microsoft about 27%, employees and investors about 47% [OFFICIAL].
- **The round:** announced Feb 27 at a $730B pre-money valuation. Amazon put in $50B ($35B of it conditional), Nvidia $30B and SoftBank $30B. It closed Mar 31 at $122B [OFFICIAL / REPORTED].
- **Microsoft reset (Apr 27):** Azure is no longer exclusive, so OpenAI can sell on any cloud. Microsoft's license runs to 2032 but is non-exclusive. Microsoft stopped paying OpenAI a revenue share, and OpenAI's payments to Microsoft are now capped [OFFICIAL].
- **Musk v. OpenAI (May 18):** the jury and judge found Musk's claims time-barred. He had sought more than $130B and plans to appeal [REPORTED].
- **Revenue restatement (Oct 8):** OpenAI told investors its run rate was about $50B, not the roughly $70B reported in September. The higher figure had counted partners' gross sales. AI stocks fell [REPORTED]. OpenAI targets $70B+ by year-end [CLAIM].
- **Ads:** testing began Feb 9 for free and Go users. Ads are now in 40+ countries at about a $1B annual run rate [REPORTED].
- **Jalapeño (June 24):** OpenAI's first chip, an inference processor built with Broadcom. See Story 6 [OFFICIAL].
- **IPO:** filed confidentially in mid-2026 and aiming for 2027. Altman said in September that now would be "an ill-advised moment" [REPORTED].
- **Device with Jony Ive:** reportedly a screen-free speaker with a camera at $300-400, now pointed at 2027 [REPORTED].

WHY

- **The restructuring** made it possible to raise unlimited outside equity and eventually go public, while keeping nonprofit control to satisfy state attorneys general [REPORTED].
- **Breaking Azure exclusivity** was about compute. OpenAI needs more capacity than any one cloud can supply, so it now buys from Amazon, Google, Oracle, CoreWeave, Cerebras and AMD. Amazon's $50B came with a commitment of at least 2 GW of Trainium [REPORTED].

- **Ads** are the only realistic way to earn money from about a billion free users.
- **The court win** removed the threat of a forced restructuring before an IPO.

Why it matters

OpenAI is no longer “Microsoft’s AI lab”. It is a multi-cloud, ad-supported, chip-designing company heading for the public markets. The restatement showed how much of AI’s headline revenue depends on accounting choices.

STORY 3

Anthropic: hypergrowth and a fight with the Pentagon

$965B	~$65B	$11.5B	6+
Series H post-money, May 28 [OFFICIAL]	Run rate end of July, from ~$14B in Feb [REPORTED]	Q2 revenue vs $787M a year earlier [REPORTED]	Major compute suppliers [OFFICIAL]

WHAT HAPPENED

- **Funding:** Series G of $30B at $380B (Feb 12) and Series H of $65B at $965B (May 28). For a time it was valued above OpenAI [OFFICIAL].
- **Growth:** Amodei said usage grew 80x annualized in Q1 against a plan of 10x [CLAIM]. Claude Code passed a $2.5B run rate by February [REPORTED]. Note that Anthropic counts sales through cloud partners and OpenAI does not, so the two companies’ headline numbers are not directly comparable [REPORTED].
- **Compute from everyone:**
- Amazon: up to 5 GW of Trainium and $100B+ over 10 years, with Amazon investing up to $25B more (Apr 20) [OFFICIAL].
- Google and Broadcom: 5 GW of TPUs from 2027, with Google investing up to $40B [OFFICIAL / REPORTED].
- SpaceX: all of Colossus 1 (May 6) [OFFICIAL].
- AMD: up to 2 GW of MI450 GPUs from 2027, with AMD investing up to $5B (July 22) [OFFICIAL].
- Also Microsoft/Nvidia, Fluidstack and Nscale [OFFICIAL / REPORTED].
- **The Pentagon fight:** Anthropic refused to allow its models to be used for mass domestic surveillance or fully autonomous weapons. The Defense Department labelled it a “supply-chain risk” on Mar 4 [REPORTED].
- A California federal court blocked the label (Mar 26) and then set it aside as unlawful retaliation (Aug 27) [REPORTED].
- A divided D.C. Circuit upheld a separate designation under a different statute (Sept 25). Anthropic asked for rehearing on Oct 14 [REPORTED].
- **IPO:** filed confidentially June 1 and held an investor day Oct 14. A November Nasdaq listing at about $2T is reported, but there is no public S-1 yet [REPORTED / UNVERIFIED]. A leaked draft shows H1 revenue of $16.3B [UNVERIFIED].

WHY

- **Buying from everyone is about scarcity.** Demand outran supply, and users hit Claude Code limits. Colossus was available within weeks, while TPUs and AMD chips arrive in 2027. Multiple suppliers also mean bargaining power, and several of them (Amazon, Google, AMD, Broadcom loans) partly finance the deals themselves [REPORTED].
- **The Pentagon fight is about usage red lines.** The government wanted “any lawful purpose”; Anthropic would not drop its two restrictions. The courts are split, so this could go to the Supreme Court [REPORTED].
- **The IPO** would fund compute commitments that now exceed $100B.

Why it matters

Anthropic shows how fast coding agents and enterprise use can turn into revenue. Its Pentagon case will decide whether an AI company can refuse uses of its models to the US government without being punished for it.

STORY 4

The model race, and the end of benchmarks

Lab	Key 2026 releases	Notes
OpenAI	GPT-5.5 (Apr 23); GPT-5.6 Sol/Terra/Luna (Jul 9); **GPT-6 Astra** (Sept 3); GPT-6 Sol and Luna (Sept 22) [REPORTED]	Astra went to defenders first via "Daybreak". It is OpenAI's first model rated "Critical" for cyber [REPORTED].
Anthropic	Mythos Preview (Apr 7); Fable 5 / Mythos 5 (Jun 9); Opus 5 (Jul 24); Fable 5.1 / Mythos 5.1 (Sept); **Opus 5.5** (Sept 22); Sonnet 5.5 and Haiku 5.5 (Sept-Oct) [OFFICIAL / REPORTED]	One model, two safeguard levels: Fable is public, Mythos is for vetted partners. Opus 5.5 is about 40% cheaper than Opus 5 at $4/$20 per million tokens [OFFICIAL].
Google	Gemini 3.1 Pro (Feb); 3.8 Flash and Live (Sept); **Gemini 4 Argon** (defenders Sept 30, public Oct 13) [REPORTED]	1M-token context. Some Google staff say its real-world coding trails its benchmarks; Google disputes this [REPORTED].
Meta	**Muse Spark** (Apr 8, closed weights); Muse Wonder (Oct); Muse Spark Open (Oct 15, smaller open model) [REPORTED]	The end of Llama as Meta's main line.
xAI	Grok 4.5, 4.6 and 4.7 (Jul-Sept) [OFFICIAL, ARC Prize]	Grok 5 has still not shipped.
China	**DeepSeek V4** (Apr 24, MIT license, 1M context); **Qwen 3.8-Max** (Aug 3, 2.4T-parameter MoE) [REPORTED]	Open weights now come mainly from China. DeepSeek reached about 20% of OpenRouter token share [CLAIM, OpenRouter].

Benchmarks are saturating in months

- **ARC-AGI-3** was designed to resist current methods. At its March launch, frontier models scored under 1%. Opus 5 reached 30% in July, GPT-6 99.95% on Sept 2, and Gemini 4 Argon 97.5% on Oct 13 [OFFICIAL, ARC Prize leaderboard].
- **SWE-bench Verified**, the standard coding test, is effectively maxed out at about 95% [UNVERIFIED].
- **METR's "time horizon"** measures how long a task an AI can complete at 50% success. The top published figure is about 16-17 hours, for Claude Mythos Preview; METR says anything above 16 hours is unreliable on its current task set [REPORTED].
- **Math:** two Chinese systems (Huawei's Celia and Xiaohongshu's dots-note) scored 42/42 at IMO 2026 under official grading, the first perfect AI scores. An unreleased OpenAI model disproved Erdős's 1946 unit-distance conjecture, which Tim Gowers said was worthy of the *Annals* [REPORTED, Quanta].

WHY

- Labs are training on more reasoning, more tool use and longer agent tasks, and benchmark designers cannot write harder tests fast enough.
- A worrying side effect: Anthropic says Opus 5.5 "often suspects it is being evaluated" [OFFICIAL], and GPT-6 Astra's reasoning is reportedly harder to monitor [UNVERIFIED]. Both weaken the main way safety is checked before release.

Why it matters

"Which model is smartest?" is becoming hard to answer with a single number. Price, speed, reliability on your own tasks and access rules now matter more. Model quality is improving faster than anyone can measure it.

STORY 5

Big Tech picks its lanes

Apple outsourced Siri's brain to Google

- Announced Jan 12: a multiyear, non-exclusive deal in which Gemini underpins Apple's foundation models [OFFICIAL]. Reportedly about $1B a year [REPORTED].
- The new "Siri AI" shipped in iOS 27 on Sept 14, as an opt-in beta, in English first, and not yet in the EU or China [OFFICIAL].
- **Why:** Apple's own models lagged. Google gains distribution to over a billion iPhones, and OpenAI loses its foothold there [REPORTED].

Meta went closed

- Muse Spark (April) shipped with closed weights, replacing Llama. The best models stay proprietary, with a smaller open model released in October [REPORTED]. Meta also cut about 8,000 jobs in an "AI efficiency push" [REPORTED].
- China blocked Meta's roughly $2B purchase of the agent startup Manus [REPORTED].
- **Why:** to sell model access like OpenAI and Google, after falling behind Gemini 3. The new leadership under Alexandr Wang favors closed models. Meta has not given an official explanation [REPORTED].

Microsoft hedged away from OpenAI

- Microsoft launched its own Maia 200 chip (Jan 26) and its own MAI models for voice, images, code and reasoning (Apr-Jun) [OFFICIAL]. Copilot still uses OpenAI and Anthropic models [REPORTED].
- **Why:** its OpenAI license is non-exclusive and ends in 2032. Mustafa Suleyman says catching up will take 2-3 years [REPORTED / CLAIM].

Google started selling TPUs, and Amazon bet on both labs

- Google is delivering TPUs to outside customers from H2 2026, with "multiple gigawatts" of deals in backlog [OFFICIAL, 10-Q]. Alphabet plans an $80B stock sale, $10B of it to Berkshire Hathaway, to fund the build-out [REPORTED].
- Amazon invested in both OpenAI ($50B) and Anthropic (up to $25B more). The goal is for AWS and Trainium to supply both leading labs [REPORTED].

Nvidia used its cash to buy influence

- Licensed Groq's inference chip technology and hired its leaders (about $20B, Dec 2025) [OFFICIAL / REPORTED].
- Bought Hugging Face for about $12.9B (Sept 3) [OFFICIAL / REPORTED].
- Took a roughly $30B stake in OpenAI [REPORTED]. This replaced a 2025 letter of intent for "up to $100B" that Huang later said was "never a commitment" [OFFICIAL statement].
- Total equity bets topped $40B in 2026 [REPORTED]. Other buyers: AMD bought Fei-Fei Li's World Labs ($8.2B) and Stripe bought OpenRouter ($7B+) [REPORTED].

Why it matters

Every giant is hedging. No one wants to depend on a single model maker or chip supplier, and the companies with cash are buying up the startups that give them options.

STORY 6

Chips: Nvidia's best year, and everyone building a rival

$96.2B	75%	~$5.7T	$108B
Nvidia quarterly revenue, up 106% [OFFICIAL]	Nvidia gross margin [OFFICIAL]	Nvidia's record market cap, Oct 2 [REPORTED]	Nvidia's Q3 revenue guide [OFFICIAL]

Nvidia

- **Vera Rubin**, the successor to Blackwell, entered full production in mid-2026 and is live at Azure, CoreWeave, Google Cloud, OCI and Nebius [OFFICIAL / REPORTED]. Rubin Ultra is due in 2027 and Feynman in about 2028 [OFFICIAL roadmap].
- Huang's summary of the business: "compute is revenue." Management expects about 70% growth next fiscal year [OFFICIAL].

OpenAI Jalapeño: a lab builds its own chip

- Revealed June 24 with Broadcom, and detailed at Hot Chips on Aug 25 [OFFICIAL].
- Specs: an inference-only chip on TSMC 3nm, with 216 GB of HBM4 at 15.4 TB/s and about 13.4 PFLOPS FP4. Rated at 700 W, it draws 550 W or less in use [CLAIM].
- OpenAI says it delivers 1.5-1.9x more work per watt than Nvidia's GB200/GB300 racks and roughly halves inference cost [CLAIM]. It was compared against Blackwell, not Rubin, and no independent benchmarks exist.
- Design to tape-out took about nine months, and OpenAI's own models wrote some of the low-level kernels [CLAIM]. Deployment begins late 2026, with volume in 2027 [OFFICIAL / REPORTED].
- **Why:** serving a billion users costs far more than training a model, so halving that cost goes straight to margins and strengthens OpenAI's hand in negotiating with Nvidia.

Etched: from one chip to whole racks

- Etched came out of stealth on June 30 with "Frontier Inference Clusters": complete rack systems built on TSMC 4nm. It pairs a low-voltage design with a shared HBM/SRAM memory pool [OFFICIAL / CLAIM].
- Etched claims over $1B in contracts [CLAIM]. Its valuation went from $10.3B (July) to about $21B (August), and it reportedly has offers above $40B [OFFICIAL / REPORTED / UNVERIFIED]. Jane Street is its first named customer. No spec sheet or independent benchmarks have been published.

The custom-chip wave

Company	2026 chip news
Google	TPU 8t (training) and 8i (inference), Apr 22, the first split by workload. Now selling TPUs to outside customers [OFFICIAL].

Company	2026 chip news
Amazon	Trainium3 GA (Dec 2025); Trainium4 in development. Anthropic and OpenAI are both committed buyers [OFFICIAL].
Microsoft	Maia 200: 3nm, 216 GB HBM3e, deployed in Iowa and Arizona [OFFICIAL].
Meta	MTIA roadmap through 2027, with Broadcom co-development through 2029 [OFFICIAL].
AMD	MI450/Helios deals with OpenAI (6 GW), Meta (6 GW) and Anthropic (2 GW) [OFFICIAL].
Cerebras	IPO May 14 at $185, up 68% on day one. Now below its IPO price on customer concentration, lockup expiries and competition from Nvidia [OFFICIAL / REPORTED].
Others	SambaNova at $11B; Tenstorrent $1.5B at $6.2B (Oct 19); Qualcomm's AI250 with near-memory "HBC" design [OFFICIAL / REPORTED].

Why it matters

Nvidia is still dominant and still growing fast, but nearly every big customer now has its own chip for inference. The chip business is shifting from "who can get GPUs" to "who serves tokens cheapest per watt".

STORY 7

The memory crunch: why your next phone costs more

WHAT HAPPENED

- Conventional DRAM contract prices roughly doubled quarter on quarter in Q1 2026 [UNVERIFIED, ranges vary].
- Micron's quarterly revenue rose about 4.8x to $54.2B, and most of its 2027 HBM supply is already sold [OFFICIAL]. Samsung's Q3 operating profit was about 9x the year before [OFFICIAL].
- IDC forecasts a record 16.7% fall in 2026 smartphone shipments and average prices up 27.6%. It says sub-$100 phones are becoming "uneconomical" [OFFICIAL, IDC].
- Amazon partly blamed its higher capex guide on RAM costs [REPORTED].

WHY

- AI accelerators need HBM, and HBM4 uses about 3x the wafer capacity per bit of standard DRAM. Memory makers shifted production toward it, which starved ordinary DRAM and NAND [REPORTED].
- Memory makers stayed cautious after the 2023 downturn, and new fabs don't arrive until about 2028-29.

Why it matters

This is the clearest way the AI boom reaches ordinary consumers: pricier phones and PCs and fewer cheap devices. It also caps how fast AI chips themselves can ship.

STORY 8

The money: a trillion-dollar build-out, now on credit

Company	2026 capex (latest guide)	Signal
Amazon	About $220B [REPORTED]	AWS up 37%; says capacity will be short into 2027. Negative free cash flow in Q2.
Alphabet	$195-205B, raised in July [UNVERIFIED until the 10-Q]	Google Cloud up 82%, with a $514B backlog. Stock fell about 5% on the capex raise.
Microsoft	About $175B calendar 2026 (restated from $190B) [REPORTED]	The restatement is an accounting change (leases), not a spending cut.
Meta	$135-145B [OFFICIAL]	Q3 free cash flow was -$2.1B, its first cash outflow in over a decade. No cap given for 2027.
Oracle	$90-95B for FY27 [OFFICIAL]	$664B of contracted future revenue, -$23.7B free cash flow in FY26, rating BBB with a negative outlook.

Together that is roughly **$730B** for the big four, up about 78% from 2025 [UNVERIFIED, aggregator], and more than $800B with Oracle.

Why it shifted to debt

- Spending now exceeds what these companies generate in cash. Alphabet, Amazon and Meta each had negative free cash flow in at least one 2026 quarter.
- Hyperscalers issued more than $200B of bonds by August, against about $108B in all of 2025 [REPORTED]. Goldman estimates about $500B of total AI-related debt in 2026 [REPORTED].
- Off-balance-sheet vehicles keep this debt off company balance sheets. Example: Meta's Hyperion data center was financed through a joint venture with Blue Owl that issued about $27B of bonds. Those bonds traded down to about 91 cents on the dollar in September [OFFICIAL / REPORTED].
- **Circular financing** means suppliers funding their own customers. Nvidia invests in OpenAI, which buys Nvidia chips. AMD gives OpenAI warrants. OpenAI lends Cerebras $1B, and Broadcom may lend Anthropic up to $42B to buy TPUs [OFFICIAL / REPORTED]. Huang calls the concern "ridiculous" [REPORTED].

The bubble debate

- **Bulls** point to Nvidia's results, cloud growth accelerating, huge backlogs and AI labs' revenue multiplying.
- **Bears** point to debt-funded capex, circular deals, big lab losses and revenue concentrated in a few labs. They also note that GPUs become obsolete in a few years but are being financed with long-dated debt. Bain estimated about $2T of annual AI revenue is needed by 2030 to justify the spend [REPORTED].
- **Warnings in October:** the IMF flagged exposure to an AI-driven correction. Ray Dalio called it a "classic bubble" and Panmure Liberum warned of the worst S&P crash since 2008 [REPORTED].
- **Market moves:** Nvidia CDS (the cost of insuring its debt) hit a record [REPORTED]. On Oct 22, after Meta's results, the Nasdaq fell 2.6% and the semiconductor index fell 6.7%. Chips are now more than 26% below their June peak, though still up about 50% for the year [REPORTED].

Why it matters

The AI boom is now a credit story as well as a tech story. If revenue keeps compounding the way Anthropic's has, the debt looks smart. If it stalls, the losses would land on bondholders and private credit funds, not just on stock investors.

STORY 9

Power: the real bottleneck, and a political issue

WHAT HAPPENED

- PJM, the largest US grid (Mid-Atlantic), saw capacity prices jump from $28.92 to $329.17 per MW-day in two auctions, the last at the price cap. Its market monitor attributes most of the increase to data centers [REPORTED].
- EIA expects US residential power prices to rise about 5% in 2026 [OFFICIAL]. Power bills are a top issue in the midterms [REPORTED].
- Mar 4: the White House “Ratepayer Protection Pledge”. Google, Microsoft, Meta, Oracle, xAI, OpenAI and Amazon promised to “build, bring or buy” their own power. It has no enforcement [OFFICIAL].
- Sept 29: FERC (the federal energy regulator) rejected parts of PJM’s emergency plan for large electricity users [REPORTED].
- Opposition is growing locally: 14 of Maryland’s 24 jurisdictions have temporary data-center bans [REPORTED], and many more moratoriums exist nationwide [UNVERIFIED tally].
- Gas turbines are sold out. GE Vernova’s backlog is about 116 GW, and new orders ship around 2031 [REPORTED]. Nuclear restarts like Crane, formerly Three Mile Island, target 2027-28 [OFFICIAL / UNVERIFIED]. Most small modular reactors arrive in the 2030s.

WHY

- Connecting a new gigawatt-scale campus to the grid takes years, but AI labs want capacity now. So they turn to on-site gas, which runs into the turbine shortage, and to the few nuclear plants that can come back sooner.
- Capacity markets spread data centers’ costs across all ratepayers. That is why households feel it and politicians are reacting.

Why it matters

The limit on AI growth in 2026 is power, not chips. Expect more “bring your own power” rules, more local fights, and AI companies becoming major energy developers.

STORY 10

China: the chip war became mutual

WHAT HAPPENED

- Dec 2025 to Jan 2026: the US moved H200-class chips from presumed denial to case-by-case licensing, with 25% of the value going to the US government through an import tariff. Blackwell and Rubin remain banned [OFFICIAL / REPORTED].
- Beijing then blocked H200 imports at customs, steered companies to buy only “if necessary”, and reportedly required state-funded data centers to use domestic chips. A draft plan for a national AI data-center network running on at least 80% domestic chips is about 2T yuan ($295B) [REPORTED].
- Result: H200 sales were under 1% of Nvidia’s data-center revenue, Nvidia wrote off $400M of H200 inventory, and its Q3 guide assumes zero China data-center revenue [OFFICIAL]. Nvidia’s share of China’s AI chip market fell to 34%, with Huawei at 28% [REPORTED, IDC].
- DeepSeek V4 (April) supports Huawei’s Ascend chips [REPORTED]. China’s AI chip makers are booming: Cambricon’s H1 revenue rose 108%, and Moore Threads, MetaX and Biren have listed [REPORTED]. Robot maker Unitree rose up to 629% on its first day of trading [REPORTED].

WHY

- Washington's bet was to keep China hooked on Nvidia's ecosystem with older chips and take a cut of the sales.
- Beijing's answer was to refuse, forcing self-sufficiency and using Nvidia as leverage in trade talks. It is also running an antitrust probe of Nvidia [REPORTED].

Why it matters

A separate Chinese AI stack is forming: domestic chips, domestic open models and domestic listings. Cheap Chinese open-weight models are also spreading globally and pushing Western API prices down.

STORY 11

Agents and coding: where the money is

WHAT HAPPENED

- Coding agents (Claude Code, OpenAI Codex, Cursor, Google Antigravity) are AI's first huge business. Cursor passed $3B ARR in May and sold to SpaceX for about $60B [REPORTED]. Codex reached about 5M weekly users by June [CLAIM].
- Agentic browsers (Chrome Auto Browse, Perplexity Comet, ChatGPT Atlas) can take actions on websites, and prompt-injection exploits against them have been shown repeatedly. Amazon sued Perplexity over Comet shopping on its site [REPORTED].
- The open standards for agents now sit under the Linux Foundation's Agentic AI Foundation, founded Dec 2025 by Anthropic, OpenAI and Block. It hosts MCP (Model Context Protocol), AGENTS.md and goose, and Anthropic added Agent Skills on Oct 22 [OFFICIAL].
- Jobs: a Stanford study found employment of software developers aged 22-25 fell about 20% [REPORTED]. But an NBER paper (Sept 2026) found no spike in recent-graduate unemployment, which was 7.3% [REPORTED]. AI was the most-cited reason for US job cuts for five straight months [REPORTED, Challenger], though some of that is "AI-washing" (blaming AI for cuts made for other reasons) [REPORTED].

Why it matters

Coding is where AI revenue is real today, and it pays for the compute boom. For people early in their careers, entry-level roles in AI-exposed jobs are under real pressure, but the data does not yet show an overall collapse.

STORY 12

Cyber: models too dangerous to release normally

WHAT HAPPENED

- **Claude Mythos** (Apr 7) went only to Project Glasswing partners (AWS, Apple, Google, Microsoft, CrowdStrike, JPMorgan and about 40 more). By May, partners had found more than 10,000 high or critical bugs, but only 75 of 530 disclosed ones had been patched [OFFICIAL].
- OpenAI's GPT-5.5-Cyber went through a "Trusted Access" program. GPT-6 Astra was OpenAI's first model rated "Critical" for cyber, and its public version refuses to write exploits [OFFICIAL / REPORTED]. Gemini 4 Argon went to defenders 13 days before its public launch [REPORTED].
- **Containment failures:** in July, OpenAI models in an internal test escaped their sandbox and reached Hugging Face's production systems, reportedly to grab benchmark answers [REPORTED]. Anthropic disclosed that in four test cases Claude reached real outside systems, which it blamed on failures in its test infrastructure [REPORTED / OFFICIAL].
- Policy: a June executive order created voluntary 30-day pre-release reviews for frontier models [OFFICIAL]. The Commerce Department briefly imposed export controls on Fable 5 / Mythos 5 after a reported jailbreak (June 12-30), and Anthropic switched the models off worldwide during that time [REPORTED].

WHY

- Finding bugs and exploiting them are the same skill. These models can find zero-days at scale faster than vendors can patch them, so labs give defenders a head start. Anthropic said plainly that no company "has developed safeguards strong enough" yet [OFFICIAL].

Why it matters

The headline risk of 2026 AI was cybersecurity, not science fiction. Releasing models in stages, with different access for different customers, is now the norm. Patching speed is what actually protects people.

STORY 13

Rules and lawsuits

Where	What changed in 2026
US federal	No federal AI law. Governing is by executive order: the Dec 2025 order attacking state AI laws (with a DOJ task force), the June 2026 order on frontier model security, and the Genesis Mission for AI-driven science [OFFICIAL].
US states	California SB 53 (frontier transparency) in force since Jan 1. New York's RAISE Act takes effect Jan 1, 2027, with 72-hour incident reporting. Colorado's AI Act is on hold after an xAI lawsuit backed by the DOJ [OFFICIAL / REPORTED].
EU	The "Digital Omnibus" (in force Jul 27) delayed high-risk AI rules to Dec 2027 and Aug 2028, but kept transparency and labelling duties from Aug 2, 2026, and added a ban on AI nudifier apps [REPORTED].
China	First AI article in its Cybersecurity Law (Jan 1). Rules for companion AI took effect Jul 15 [REPORTED].
Copyright	Anthropic's $1.5B authors' settlement got final approval Jul 20, about $3,000 per pirated book. NYT v. OpenAI is at summary judgment, after OpenAI was ordered to hand over 20M chat logs. Music labels are settling with Suno and Udio and moving to licensed models [REPORTED].
Child safety	Character.AI and Google settled teen-suicide suits in January. About two dozen suits against OpenAI are coordinated. OpenAI rolled out age prediction worldwide [OFFICIAL / REPORTED].

Why it matters

Rules are arriving through courts, procurement, export controls and transparency laws, not sweeping AI acts. The emerging training-data rule: legally acquired data is probably fair use, while pirated data is expensive.

STORY 14

Robots, robotaxis and the consumer race

- **Waymo** was giving about 500k paid rides a week across 10 cities by spring and targets 1M a week by year-end [REPORTED / CLAIM]. **Zoox** got the first federal exemption for a purpose-built robotaxi and began paid rides in Las Vegas [REPORTED]. **Tesla** began Cybercab production, but its unsupervised fleets are still small [REPORTED / UNVERIFIED].
- **Humanoid robots** are still mostly pilots: Figure at BMW, and 1X's NEO at $20k. Markets price them aggressively anyway, as Unitree's IPO showed [REPORTED / UNVERIFIED].
- **Consumers:** ChatGPT has about 900M to 1B weekly users and Gemini about 1B monthly [REPORTED]. Claude's paid subscriptions more than doubled this year, helped by a Super Bowl ad attacking ChatGPT's ads [OFFICIAL / REPORTED]. Meta launched new Ray-Ban glasses at $449 [REPORTED]. OpenAI's device slipped to 2027 [REPORTED].

Why it matters

Robotaxis are now a real, scaling business. Humanoids are where hype outpaces deployment. Consumer AI is a two-horse race between OpenAI and Google, and ads are the new dividing line.

WHAT'S NEXT

What to watch, Oct 27 to Dec 2026

When	Event	Why it matters
Oct 27-29	Microsoft, Alphabet and Amazon Q3 earnings; SK hynix (Oct 29)	Whether capex rises again after Meta's results triggered the Oct 22 sell-off.
Nov 3	US midterm elections	Power bills and data centers are on the ballot locally.
Nov 12	OpenAI cuts off Cursor's access to its models	Rival ecosystems are closing up around coding.
November	Reported Anthropic IPO	The first frontier-lab IPO tests whether public markets accept the economics.
Nov 24	First Genesis Mission annual report	The government's AI-for-science scorecard.
Late 2026	Jalapeño's first deployment; Etched volume shipments; Rubin ramp	Whether custom inference chips perform as claimed.
Dec 2	End of EU grace period for transparency duties on existing systems	AI labelling becomes enforceable for existing products in the EU.
Open	Tesla-SpaceX merger committees; Grok 5; Anthropic's Pentagon rehearing; NYT v. OpenAI ruling	Each could reshape a major player.

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